# Aloha Development Model
## Returns Summary

| Scenario | Scenario 1 | Scenario 2 |
|---|---|---|
| **Description** | **Self Develop; Sale on Stabilization** | **Self Develop; Long Term Hold** |
| **Returns Summary** | | |
| **Total Square Footage** | **1,210,000** | **1,210,000** |
| **Total Development Costs w/ Land** | **$466,985,583** | **$466,985,583** |
| **Equity Required** (1) | | |
| Land Acquisition Cost (2) | $48,400,000 | $48,400,000 |
| Horizontal Infrastructure Cost | $41,000,000 | $41,000,000 |
| Equity for Vertical Buildout | $81,423,337 | $81,423,337 |
| **Total Equity Required** | **$170,823,337** | **$170,823,337** |
| Total Distributions | $264,657,905 | $536,192,708 |
| Less: Equity Invested | ($170,823,337) | ($170,823,337) |
| **Net Cash Flow** | **$93,834,567** | **$365,369,370** |
| **NPV @ 8%** | **$38,525,395** | **$76,540,294** |
| **IRR** | **16.9%** | **13.0%** |
| Equity Multiple | 1.5x | 3.1x |
| Profitability Index | 1.2x | 1.4x |

Notes:
(1) Assumes 2-3 year build and sale in year 4 or 5 in Scenario 1, 10 year hold in Scenario 2
(2) Assumes land is held under a long-term ground lease; value is financed up front

# Development Model
## Assumptions

### Mixed Use Assumptions

| | New Stadium (& Underground Parking) | Office | Retail | Residential | Hotel | Other: Greenspace / Plaza Future Dvlpmt / HART Station | Total (SF excludes Stadium) |
|---|---|---|---|---|---|---|---|
| **Development Program (Phase I)** | | | | | | | |
| **Acreage** | **15.0** | **8.0** | **15.0** | **12.0** | **6.0** | **44.0** | **100.0** |
| Land SF | | 348,480 | 653,400 | 522,720 | 261,360 | | |
| **Sq. Ft.** | **500,000** | **150,000** | **350,000** | **550,000** | **160,000** | | **1,210,000** |
| % of Total | | 12.4% | 28.9% | 45.5% | 13.2% | | |
| FAR | | 0.4 | 0.5 | 1.1 | 0.6 | | **0.3** |
| **Parking / Infrastructure / Land** | | | | | | | |
| Parking Ratio (per 1000 sf) | | 2.5 | 3.0 | 1.00 | 1.00 | | |
| Parking Spaces | 4,000 | 375 | 1,050 | 550 | 160 | | 6,135 |
| Cost / Space [1] | $40,000 | $20,000 | $20,000 | $20,000 | $20,000 | | $33,040 |
| Parking Costs | $160,000,000 | $7,500,000 | $21,000,000 | $11,000,000 | $3,200,000 | | $202,700,000 |
| On-Site Infra. per Acre | $1,000,000 | $1,000,000 | $1,000,000 | $1,000,000 | $1,000,000 | | $560,000 |
| On-Site Infrastructure | $15,000,000 | $8,000,000 | $15,000,000 | $12,000,000 | $6,000,000 | | $56,000,000 |
| Total Parking & Infrastructure | $175,000,000 | $15,500,000 | $36,000,000 | $23,000,000 | $9,200,000 | | $258,700,000 |
| Total Parking & Infrastructure PSF | $213.80 | $103.33 | $102.86 | $41.82 | $57.50 | | $213.80 |
| Total Parking & Infrastructure per Acre | $11,666,667 | $1,937,500 | $2,400,000 | $1,916,667 | $1,533,333 | | $2,587,000 |
| Land Value PSF FAR | | **$40.00** | **$40.00** | **$40.00** | **$40.00** | | $40.00 |
| Land Valuation | | **$6,000,000** | **$14,000,000** | **$22,000,000** | **$6,400,000** | | **$48,400,000** |
| Land Value per Acre | | $750,000 | $933,333 | $1,833,333 | $1,066,667 | | $484,000 |
| Price Per Land SF | | $17.22 | $21.43 | $42.09 | $24.49 | | $11.11 |
| Total Land, Parking & Infrastructure | **$175,000,000** | **$21,500,000** | **$50,000,000** | **$45,000,000** | **$15,600,000** | | **$307,100,000** |
| **Returns** | | | | | | | |
| Total Development Costs PSF | | $428.66 | $470.33 | $307.79 | $429.92 | | |
| Net Rent PSF [2] | | $31.00 | $32.00 | $19.32 | $26.33 | | |
| Return on Cost | | 7.23% | 6.80% | 6.28% | 6.13% | | |
| Valuation Cap Rate | | 6.50% | 6.00% | 5.50% | 6.00% | | |
| Developer Spread | | 0.73% | 0.80% | 0.78% | 0.13% | | 0.61% |
| Unlevered Profits [2] | | **$7,239,452** | **$22,052,190** | **$23,915,133** | **$1,438,771** | | **$54,645,545** |

Notes:
(1) Assumes structured parking
(2) No ground lease payment included; assumes ground lease financed up front

# Development Model
## Budget Assumptions

| | Office | Retail | Residential | Hotel | Total |
|---|---|---|---|---|---|
| Square Footage | 150,000 | 350,000 | 550,000 | 160,000 | 1,210,000 |

| Hard Costs | $ / s.f. | Total | $ / s.f. | Total | $ / s.f. | Total | $ / s.f. | Total | $ / s.f. | Total |
|---|---|---|---|---|---|---|---|---|---|---|
| Base Building | $145.00 | $21,750,000 | $160.00 | $56,000,000 | $170.00 | $93,500,000 | $210.00 | $33,600,000 | $169.30 | $204,850,000 |
| Tenant Improvements | $70.00 | $10,500,000 | $70.00 | $24,500,000 | $0.00 | $0 | $0.00 | $0 | $28.93 | $35,000,000 |
| Sitework | $1.00 | $150,000 | $13.15 | $4,602,069 | $2.00 | $1,100,000 | $0.00 | $0 | $4.84 | $5,852,069 |
| Parking | $50.00 | $7,500,000 | $60.00 | $21,000,000 | $20.00 | $11,000,000 | $20.00 | $3,200,000 | $35.29 | $42,700,000 |
| Hardscape | $1.00 | $150,000 | $0.00 | $0 | $0.50 | $275,000 | $0.00 | $0 | $0.35 | $425,000 |
| Landscape | $0.00 | $0 | $0.00 | $0 | $2.00 | $1,100,000 | $0.00 | $0 | $0.91 | $1,100,000 |
| Signage | $0.50 | $75,000 | $0.00 | $0 | $0.00 | $0 | $0.00 | $0 | $0.06 | $75,000 |
| Hard Cost Contingency | $5.00 | $750,000 | $11.00 | $3,850,000 | $5.00 | $2,750,000 | $5.00 | $800,000 | $6.74 | $8,150,000 |
| **Subtotal: Hard Costs** | **$272.50** | **$40,875,000** | **$314.15** | **$109,952,069** | **$199.50** | **$109,725,000** | **$235.00** | **$37,600,000** | **$246.41** | **$298,152,069** |
| **Soft Costs** | | | | | | | | | | |
| Consultants (A&E) | $6.00 | $900,000 | $10.00 | $3,500,000 | $6.41 | $3,526,111 | $20.00 | $3,200,000 | $9.20 | $11,126,111 |
| Other Consultants | $2.20 | $329,579 | $0.00 | $0 | $0.00 | $0 | $10.00 | $1,600,000 | $1.59 | $1,929,579 |
| FF&E | $0.00 | $0 | $0.00 | $0 | $3.89 | $2,138,889 | $40.00 | $6,400,000 | $7.06 | $8,538,889 |
| Permits and Impact Fees | $0.75 | $112,132 | $3.91 | $1,368,500 | $4.11 | $2,260,895 | $0.00 | $0 | $3.09 | $3,741,527 |
| Insurance | $0.57 | $85,393 | $4.32 | $1,512,000 | $1.31 | $718,711 | $0.00 | $0 | $1.91 | $2,316,104 |
| Legal | $2.88 | $431,277 | $6.25 | $2,187,640 | $1.50 | $825,000 | $3.00 | $480,000 | $3.24 | $3,923,917 |
| Marketing | $0.19 | $28,752 | $1.46 | $511,341 | $1.00 | $550,000 | $0.00 | $0 | $0.90 | $1,090,093 |
| RE Tax | $1.04 | $155,260 | $0.50 | $175,000 | $0.21 | $117,797 | $6.17 | $987,229 | $1.19 | $1,435,286 |
| Leasing Commissions | $25.00 | $3,750,000 | $22.00 | $7,700,000 | $0.00 | $0 | $0.00 | $0 | $9.46 | $11,450,000 |
| Closing Costs | $0.00 | $0 | $3.50 | $1,226,677 | $0.50 | $275,000 | $10.00 | $1,600,000 | $2.56 | $3,101,677 |
| Construction Loan Interest | $9.89 | $1,483,324 | $6.04 | $2,114,583 | $6.50 | $3,575,000 | $6.25 | $1,000,000 | $6.75 | $8,172,907 |
| Bank Fee and Financing | $3.45 | $517,533 | $0.00 | $0 | $2.52 | $1,386,892 | $2.00 | $320,000 | $1.84 | $2,224,424 |
| Operating Expenses During Construction | $0.38 | $57,504 | $0.00 | $0 | $0.00 | $0 | $0.00 | $0 | $0.05 | $57,504 |
| Soft Cost / Owner Contingency | $7.00 | $1,050,000 | $7.00 | $2,450,000 | $8.13 | $4,468,905 | $10.00 | $1,600,000 | $7.91 | $9,568,905 |
| **Subtotal: Soft Costs** | **$59.34** | **$8,900,754** | **$64.99** | **$22,745,742** | **$36.08** | **$19,843,200** | **$107.42** | **$17,187,229** | **$56.76** | **$68,676,925** |
| **Development Fees** | | | | | | | | | | |
| Development Fees | $2.33 | $348,837 | $5.83 | $2,041,667 | $7.64 | $4,200,025 | $8.00 | $1,280,000 | $6.50 | $7,870,529 |
| Construction Management Fee | $1.16 | $174,419 | $2.50 | $875,000 | $2.76 | $1,516,642 | $2.00 | $320,000 | $2.39 | $2,886,061 |
| **Subtotal: Development Costs** | **$3.49** | **$523,256** | **$8.33** | **$2,916,667** | **$10.39** | **$5,716,667** | **$10.00** | **$1,600,000** | **$8.89** | **$10,756,589** |
| **Total Development Costs (w/o Land)** | **$335.33** | **$50,299,010** | **$387.47** | **$135,614,477** | **$245.97** | **$135,284,867** | **$352.42** | **$56,387,229** | **$312.05** | **$377,585,583** |
| **Land Costs** | | | | | | | | | | |
| Land Acquisition Cost | $40.00 | $6,000,000 | $40.00 | $14,000,000 | $40.00 | $22,000,000 | $40.00 | $6,400,000 | $40.00 | $48,400,000 |
| Infrastructure Cost | $53.33 | $8,000,000 | $42.86 | $15,000,000 | $21.82 | $12,000,000 | $37.50 | $6,000,000 | $33.88 | $41,000,000 |
| **Subtotal: Land Costs** | **$93.33** | **$14,000,000** | **$82.86** | **$29,000,000** | **$61.82** | **$34,000,000** | **$77.50** | **$12,400,000** | **$73.88** | **$89,400,000** |
| **Total Development Costs (w/ Land)** | **$428.66** | **$64,299,010** | **$470.33** | **$164,614,477** | **$307.79** | **$169,284,867** | **$429.92** | **$68,787,229** | **$385.94** | **$466,985,583** |

# Mixed Use Cash Flows

| | | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 |
| | | | 12/31/2018 | 12/31/2019 | 12/31/2020 | 12/31/2021 | 12/31/2022 | 12/31/2023 | 12/31/2024 | 12/31/2025 | 12/31/2026 | 12/31/2027 | 12/31/2028 | 12/31/2029 | 12/31/2030 |
| | | | Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 6 | Year 7 | Year 8 | Year 9 | Year 10 | Year 11 | Year 12 | Year 13 |
| IRR | Eq. Mult. | | | | | | | | | | | | | | |
| 11.6% | 2.9x | Retail Cash Flows | ($62,903,619) | ($11,172,895) | $0 | $20,105,229 | $3,445,752 | $3,777,989 | $4,120,192 | $4,472,663 | $4,835,707 | $5,209,642 | $5,594,796 | $5,991,504 | $158,692,894 |
| 17.4% | 4.0x | Residential Cash Flows | ($25,528,487) | ($26,021,217) | $0 | $30,596,212 | $1,821,530 | $2,149,873 | $2,488,067 | $2,836,406 | $3,195,196 | $3,564,749 | $3,945,389 | $4,337,449 | $148,865,439 |
| 14.2% | 3.5x | Office Cash Flows | ($8,047,842) | ($9,634,386) | $0 | $5,245,426 | $854,941 | $953,522 | $1,054,322 | $1,157,389 | $1,262,775 | $1,370,533 | $1,480,715 | $1,593,376 | $46,678,130 |
| 7.2% | 2.0x | Hotel Cash Flows | ($17,196,807) | ($10,318,084) | $0 | $2,891,943 | $1,180,274 | $1,396,646 | $1,560,349 | $1,667,111 | $1,773,874 | $1,880,636 | $1,987,399 | $2,094,161 | $38,062,510 |
| 13.0% | 3.1x | Total Cash Flows | ($113,676,755) | ($57,146,583) | $0 | $58,838,810 | $7,302,497 | $8,278,030 | $9,222,930 | $10,133,569 | $11,067,552 | $12,025,560 | $13,008,298 | $14,016,489 | $392,298,973 |
| 10.1% | 1.3x | Retail Cash Flows | ($62,903,619) | ($11,172,895) | $0 | $97,622,038 | | | | | | | | | |
| 33.0% | 2.1x | Residential Cash Flows | ($25,528,487) | ($26,021,217) | $0 | $106,158,837 | | | | | | | | | |
| 14.9% | 1.4x | Office Cash Flows | ($8,047,842) | ($9,634,386) | $0 | $24,950,116 | | | | | | | | | |
| 7.8% | 1.3x | Hotel Cash Flows | ($17,196,807) | ($10,318,084) | $0 | $3,678,324 | $32,248,590 | | | | | | | | |
| 16.9% | 1.5x | Total Cash Flows | ($113,676,755) | ($57,146,583) | $0 | $232,409,314 | $32,248,590 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |

| | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Aloha Discount Rate | 8.0% | 8.00% | | | | | | | | | | | | | |
| **Self Develop - Hold** | | | | | | | | | | | | | | | |
| Total Equity Required | $170,823,337 | | | | | | | | | | | | | | |
| Net Cash Flow | $365,369,370 | ($113,676,755) | ($57,146,583) | $0 | $58,838,810 | $7,302,497 | $8,278,030 | $9,222,930 | $10,133,569 | $11,067,552 | $12,025,560 | $13,008,298 | $14,016,489 | $392,298,973 | |
| IRR | 13.0% | | | | | | | | | | | | | | |
| NPV | $76,540,294 | | | | | | | | | | | | | | |
| Equity Multiple | 3.1x | | | | | | | | | | | | | | |
| **Self Develop - Sale** | | | | | | | | | | | | | | | |
| Total Equity Required | $170,823,337 | | | | | | | | | | | | | | |
| Net Cash Flow | $93,834,567 | ($113,676,755) | ($57,146,583) | $0 | $232,409,314 | $32,248,590 | | | | | | | | | |
| IRR | 16.9% | | | | | | | | | | | | | | |
| NPV | $38,525,395 | | | | | | | | | | | | | | |
| Equity Multiple | 1.5x | | | | | | | | | | | | | | |

# Office Development Model
## Assumptions

### Development Assumptions

| Development Program | Office | | |
|---|---|---|---|
| Land Area (acres) | | | 8.00 |
| GSF | | | **150,000** |
| **Land Info** | **$ / Per Acre** | **$ / s.f.** | **Total** |
| Aloha Land Acquisition Cost | $750,000 | $40.00 | $6,000,000 |
| Aloha Infrastructure Cost | $1,000,000 | $53.33 | $8,000,000 |
| **Aloha Total Improved Land Cost** | **$1,750,000** | **$93.33** | **$14,000,000** |
| Land Valuation | $750,000 | $40.00 | $6,000,000 |
| Aloha Infrastructure Cost | $1,000,000 | $53.33 | $8,000,000 |
| **Land Value (Contribution to JV)** | **$1,750,000** | **$93.33** | **$14,000,000** |
| Land Value Mark Up / (Down) | | | $0 |

| **Hard Costs** | **$ / s.f.** | **Total** |
|---|---|---|
| Base Building | $145.00 | $21,750,000 |
| Tenant Improvements | $70.00 | $10,500,000 |
| Sitework | $1.00 | $150,000 |
| Parking | $50.00 | $7,500,000 |
| Hardscape | $1.00 | $150,000 |
| Landscape | $0.00 | $0.00 |
| Signage | $0.50 | $75,000 |
| Hard Cost Contingency | $5.00 | $750,000 |
| **Subtotal: Hard Costs** | **$272.50** | **$40,875,000** |
| | | |
| **Soft Costs** | | |
| Consultants (A&E) | $6.00 | $900,000 |
| Other Consultants | $2.20 | $329,579 |
| FF&E | $0.00 | $0.00 |
| Permits and Impact Fees | $0.75 | $112,132 |
| Insurance | $0.57 | $85,393 |
| Legal | $2.88 | $431,277 |
| Marketing | $0.19 | $28,752 |
| RE Tax | $1.04 | $155,260 |
| Leasing Commissions | $25.00 | $3,750,000 |
| Closing Costs | $0.00 | $0 |
| Construction Loan Interest | $9.89 | $1,483,324 |
| Bank Fee and Financing | $3.45 | $517,533 |
| Operating Expenses during Contruction | $0.38 | $57,504 |
| Soft Cost Contingency | $7.00 | $1,050,000 |
| **Subtotal: Soft Costs** | **$59.34** | **$8,900,754** |
| | | |
| **Development Fees** | | |
| Development Fees | **$2.33** | $348,837 |
| Construction Management Fee | **$1.16** | $174,419 |
| **Subtotal: Development Costs** | **$3.49** | **$523,256** |
| | | |
| **Total Development Costs Excluding Land** | **$335.33** | **$50,299,010** |
| Land Acquisition Cost | **$40.00** | **$6,000,000** |
| Aloha Infrastructure Cost | **$53.33** | $8,000,000 |
| **Total Development Costs Including Land** | **$428.66** | **$64,299,010** |

### Ownership Structures

| Financing | Own / Operate | Joint Venture - 50/50 |
|---|---|---|
| Ownership - Aloha | 100% | 50% |
| Ownership - Developer | 0% | 50% |
| Debt (Construction Loan) | 73% | 72.50% |
| Equity | 28% | 28% |

### Construction Loan Assumptions

| | |
|---|---|
| Interest Rate | 3.75% |

### Construction Cost Spreading

| | |
|---|---|
| Year 0 | 16% |
| Year 1 | 53% |
| Year 2 | 31% |

### Permanent Loan Assumptions (Cash Out Refinancing)

| | |
|---|---|
| Interest Rate | 4.75% |
| LTV | 75% |
| Amortization | 25 |

### Rent and Lease Up Assumptions

**Office**

| | |
|---|---|
| GSF | **150,000** |
| **Rent Assumptions** | |
| Net Rent | $31.00 |
| Vacancy | 5.00% |
| **Escalation** | |
| Growth Rate | 2.25% |

**F&B**

| | |
|---|---|
| GSF | **0** |
| **Rent Assumptions** | |
| Net Rent | $38.00 |
| Vacancy | 10.0% |
| **Escalation** | |
| Growth Rate | 2.50% |

| | |
|---|---|
| Return on Cost | 7.23% |

### Valuation and Reversion and Disposition

| | |
|---|---|
| LTV Cap Rate | 6.50% |
| Residual Cap Rate | 6.50% |
| Lease Up Risk Discount at Sale | 0.00% |
| Cost of Sale | 1.00% |

# Office Development Model

**Own-Operate Scenario - 100/0 ownership, 72.5/27.5 leverage**

| | | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Development Year** | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 |
| **Hold Year** | **Total** | | | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
| **Costs** | | | | | | | | | | | | | | |
| Construction Costs - Retail | $50,299,010 | $8,047,842 | $26,658,475 | $15,592,693 | | | | | | | | | | |
| Land Value Contribution (Land Cost + Mark up) | $14,000,000 | $0 | $14,000,000 | | | | | | | | | | | |
| **Total Costs** | **$64,299,010** | **$8,047,842** | **$40,658,475** | **$15,592,693** | | | | | | | | | | |
| **Equity** | | | | | | | | | | | | | | |
| **Aloha JV Stake** | **100%** | | | | | | | | | | | | | |
| Total Equity Requirement | $17,682,228 | | | | | | | | | | | | | |
| Aloha Total Equity Requirement (incl Land Cost + Mark up) | $17,682,228 | | | | | | | | | | | | | |
| Aloha Cash Equity | $3,682,228 | | | | | | | | | | | | | |
| Equity Draws | $17,682,228 | $8,047,842 | $9,634,386 | $0 | | | | | | | | | | |
| Aloha Cash Equity | ($3,682,228) | $5,952,158 | ($9,634,386) | $0 | | | | | | | | | | |
| Aloha Land Contribution (Cost) | ($14,000,000) | ($14,000,000) | $0 | $0 | | | | | | | | | | |
| Aloha Land Value Markup | $0 | $0 | $0 | $0 | | | | | | | | | | |
| **Debt** | | | | | | | | | | | | | | |
| **Construction Loan** | | | | | | | | | | | | | | |
| Beginning Balance | | $0 | $0 | ($32,187,492) | | | | | | | | | | |
| Draws | ($46,616,782) | $0 | ($31,024,089) | ($15,592,693) | | | | | | | | | | |
| Interest | ($2,955,160) | $0 | ($1,163,403) | ($1,791,757) | | | | | | | | | | |
| Ending Balance | | $0 | ($32,187,492) | ($49,571,942) | | | | | | | | | | |
| **Permanent Loan** | | | | | | | | | | | | | | |
| Retail | | | | | | | | | | | | | | |
| Beginning Balance | | | | | ($50,971,154) | ($49,865,838) | ($48,708,020) | ($47,495,205) | ($46,224,781) | ($44,894,013) | ($43,500,033) | ($42,039,839) | ($40,510,285) | ($38,908,078) |
| Principal Payment | $13,741,388 | | | | $1,105,316 | $1,157,818 | $1,212,815 | $1,270,423 | $1,330,769 | $1,393,980 | $1,460,194 | $1,529,553 | $1,602,207 | $1,678,312 |
| Interest Payment | $21,523,069 | | | | $2,421,130 | $2,368,627 | $2,313,631 | $2,256,022 | $2,195,677 | $2,132,466 | $2,066,252 | $1,996,892 | $1,924,239 | $1,848,134 |
| Outstanding Balance | | | | | ($49,865,838) | ($48,708,020) | ($47,495,205) | ($46,224,781) | ($44,894,013) | ($43,500,033) | ($42,039,839) | ($40,510,285) | ($38,908,078) | ($37,229,766) |
| Total: All Product Types | | | | | | | | | | | | | | |
| Beginning Balance | | | | | ($50,971,154) | ($49,865,838) | ($48,708,020) | ($47,495,205) | ($46,224,781) | ($44,894,013) | ($43,500,033) | ($42,039,839) | ($40,510,285) | ($38,908,078) |
| Principal Payment | $13,741,388 | | | | $1,105,316 | $1,157,818 | $1,212,815 | $1,270,423 | $1,330,769 | $1,393,980 | $1,460,194 | $1,529,553 | $1,602,207 | $1,678,312 |
| Interest Payment | $21,523,069 | | | | $2,421,130 | $2,368,627 | $2,313,631 | $2,256,022 | $2,195,677 | $2,132,466 | $2,066,252 | $1,996,892 | $1,924,239 | $1,848,134 |
| Outstanding Balance | | | | | ($49,865,838) | ($48,708,020) | ($47,495,205) | ($46,224,781) | ($44,894,013) | ($43,500,033) | ($42,039,839) | ($40,510,285) | ($38,908,078) | ($37,229,766) |
| **Operating and Sale Cashflows** | | | | | | | | | | | | | | |
| NOI - Office | $48,926,939 | | | | $4,417,500 | $4,516,894 | $4,618,524 | $4,722,441 | $4,828,696 | $4,937,341 | $5,048,431 | $5,162,021 | $5,278,167 | $5,396,925 |
| NOI - F&B | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Ground Lease | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Residual Value - Office | $83,029,620 | | | | | | | | | | | | | $83,029,620 |
| Residual Value - F&B | $0 | | | | | | | | | | | | | $0 |
| Capital Reserve | ($1,335,283) | | | | $0 | ($135,507) | ($138,556) | ($141,673) | ($144,861) | ($148,120) | ($151,453) | ($154,861) | ($158,345) | ($161,908) |
| Lease Up Risk Discount @ Sale | $0 | | | | | | | | | | | | | $0 |
| Cost of Sale | ($830,296) | | | | | | | | | | | | | ($830,296) |
| Net Cash Flow Before Debt Service | $129,790,980 | $0 | $0 | $0 | $4,417,500 | $4,381,387 | $4,479,968 | $4,580,767 | $4,683,835 | $4,789,221 | $4,896,978 | $5,007,160 | $5,119,822 | $87,434,342 |
| Debt Service | ($35,264,457) | $0 | $0 | $0 | ($3,526,446) | ($3,526,446) | ($3,526,446) | ($3,526,446) | ($3,526,446) | ($3,526,446) | ($3,526,446) | ($3,526,446) | ($3,526,446) | ($3,526,446) |
| *DSCR* | | | | | *1.25* | *1.28* | *1.31* | *1.34* | *1.37* | *1.40* | *1.43* | *1.46* | *1.50* | *1.53* |
| Excess Refinancing Proceeds | $4,354,372 | | | | $4,354,372 | | | | | | | | | |
| Permanent Loan Repayment | ($37,229,766) | | | | | | | | | | | | | ($37,229,766) |
| **Total Cashflow for Distribution** | **$61,651,129** | **$0** | **$0** | **$0** | **$5,245,426** | **$854,941** | **$953,522** | **$1,054,322** | **$1,157,389** | **$1,262,775** | **$1,370,533** | **$1,480,715** | **$1,593,376** | **$46,678,130** |
| Net Cash Flow from Operations | $12,327,199 | $0 | $0 | $0 | $891,054 | $854,941 | $953,522 | $1,054,322 | $1,157,389 | $1,262,775 | $1,370,533 | $1,480,715 | $1,593,376 | $1,708,572 |
| Net Cash Flow from Capital Events | $49,323,930 | $0 | $0 | $0 | $4,354,372 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $44,969,558 |
| **Cashflows to Aloha and Developer** | | | | | | | | | | | | | | |
| **Total Net Cash Flow** | | | | | | | | | | | | | | |
| **Aloha** | **$43,968,901** | **($8,047,842)** | **($9,634,386)** | **$0** | **$5,245,426** | **$854,941** | **$953,522** | **$1,054,322** | **$1,157,389** | **$1,262,775** | **$1,370,533** | **$1,480,715** | **$1,593,376** | **$46,678,130** |
| **Aloha Distributions** | **$61,651,129** | | | | | | | | | | | | | |
| **Aloha IRR** | **14.25%** | | | | | | | | | | | | | |
| Total Aloha Cash Equity Investment | $3,682,228 | | | | | | | | | | | | | |
| Total Aloha Land Cost Investment | $14,000,000 | | | | | | | | | | | | | |
| Total Investment | $17,682,228 | | | | | | | | | | | | | |
| Total Aloha Cash Flow (10 Year Hold) | $43,968,901 | | | | | | | | | | | | | |
| Aloha Debt | $50,971,154 | | | | | | | | | | | | | |
| Total Aloha Distributions | $112,622,283 | | | | | | | | | | | | | |

# Office Development Model

## Own-Operate Scenario - 100/0 ownership, 72.5/27.5 leverage

| | | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 | 2032 | 2033 | 2034 | 2035 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Development Year** | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 | 14 | 15 | 16 | 17 | 18 |
| **Hold Year** | **Total** | | | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 | 14 | 15 |
| **Costs** | | | | | | | | | | | | | | | | | | | |
| Construction Costs - Retail | $50,299,010 | $8,047,842 | $26,658,475 | $15,592,693 | | | | | | | | | | | | | | | |
| Land Value Contribution (Land Cost + Mark up) | $14,000,000 | $0 | $14,000,000 | | | | | | | | | | | | | | | | |
| **Total Costs** | **$64,299,010** | **$8,047,842** | **$40,658,475** | **$15,592,693** | | | | | | | | | | | | | | | |
| **Equity** | | | | | | | | | | | | | | | | | | | |
| **Aloha JV Stake** | **100%** | | | | | | | | | | | | | | | | | | |
| Total Equity Requirement | $17,682,228 | | | | | | | | | | | | | | | | | | |
| Aloha Total Equity Requirement (incl Land Cost + Mark up) | $17,682,228 | | | | | | | | | | | | | | | | | | |
| Aloha Cash Equity | $3,682,228 | | | | | | | | | | | | | | | | | | |
| Equity Draws | $17,682,228 | $8,047,842 | $9,634,386 | $0 | | | | | | | | | | | | | | | |
| Aloha Cash Equity | ($3,682,228) | $5,952,158 | ($9,634,386) | $0 | | | | | | | | | | | | | | | |
| Aloha Land Contribution (Cost) | ($14,000,000) | ($14,000,000) | $0 | $0 | | | | | | | | | | | | | | | |
| Aloha Land Value Markup | $0 | $0 | $0 | $0 | | | | | | | | | | | | | | | |
| **Debt** | | | | | | | | | | | | | | | | | | | |
| **Construction Loan** | | | | | | | | | | | | | | | | | | | |
| Beginning Balance | | $0 | $0 | ($32,187,492) | | | | | | | | | | | | | | | |
| Draws | ($46,616,782) | $0 | ($31,024,089) | ($15,592,693) | | | | | | | | | | | | | | | |
| Interest | ($2,955,160) | $0 | ($1,163,403) | ($1,791,757) | | | | | | | | | | | | | | | |
| Ending Balance | | $0 | ($32,187,492) | ($49,571,942) | | | | | | | | | | | | | | | |
| **Permanent Loan** | | | | | | | | | | | | | | | | | | | |
| Retail | | | | | | | | | | | | | | | | | | | |
| Beginning Balance | | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | | | | | |
| Principal Payment | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | | | | | |
| Interest Payment | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | | | | | |
| Outstanding Balance | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | | | | | |
| Total: All Product Types | | | | | | | | | | | | | | | | | | | |
| Beginning Balance | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | | | | | |
| Principal Payment | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | | | | | |
| Interest Payment | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | | | | | |
| Outstanding Balance | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | | | | | |
| **Operating and Sale Cashflows** | | | | | | | | | | | | | | | | | | | |
| NOI - Office | $4,417,500 | | | | $4,417,500 | | | | | | | | | | | | | | |
| NOI - F&B | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | | | | | |
| Ground Lease | $0 | | | | $0 | | | | | | | | | | | | | | |
| Residual Value - Office | $67,961,538 | | | | $67,961,538 | | | | | | | | | $0 | | | | | |
| Residual Value - F&B | $0 | | | | $0 | | | | | | | | | $0 | | | | | |
| Capital Reserve | ($132,525) | | | | ($132,525) | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | | | | | |
| Lease Up Risk Discount @ Sale | $0 | | | | $0 | | | | | | | | | $0 | | | | | |
| Cost of Sale | ($679,615) | | | | ($679,615) | | | | | | | | | $0 | | | | | |
| Net Cash Flow Before Debt Service | $71,566,898 | $0 | $0 | $0 | $71,566,898 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Debt Service | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Excess Refinancing Proceeds | ($46,616,782) | | | | ($46,616,782) | | | | | | | | | | | | | | |
| Permanent Loan Repayment | $0 | | | | | | | | | | | | | $0 | | | | | |
| **Total Cashflow for Distribution** | **$24,950,116** | **$0** | **$0** | **$0** | **$24,950,116** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** |
| Net Cash Flow from Operations | $4,284,975 | $0 | $0 | $0 | $4,284,975 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Net Cash Flow from Capital Events | $20,665,141 | $0 | $0 | $0 | $20,665,141 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| **Cashflows to Aloha and Developer** | | | | | | | | | | | | | | | | | | | |
| **Total Net Cash Flow** | | | | | | | | | | | | | | | | | | | |
| **Aloha** | **$7,267,888** | **($8,047,842)** | **($9,634,386)** | **$0** | **$24,950,116** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** |
| **Aloha Distributions** | **$24,950,116** | | | | | | | | | | | | | | | | | | |
| **Aloha IRR** | **14.94%** | | | | | | | | | | | | | | | | | | |
| Total Aloha Cash Equity Investment | $3,682,228 | | | | | | | | | | | | | | | | | | |
| Total Aloha Land Cost Investment | $14,000,000 | | | | | | | | | | | | | | | | | | |
| Total Investment | $17,682,228 | | | | | | | | | | | | | | | | | | |
| Total Aloha Cash Flow (10 Year Hold) | $7,267,888 | | | | | | | | | | | | | | | | | | |
| Aloha Debt | $0 | | | | | | | | | | | | | | | | | | |
| Total Aloha Distributions | $24,950,116 | | | | | | | | | | | | | | | | | | |

# Retail Development Model
## Assumptions

### Development Assumptions

| Development Program | Retail | | |
|---|---|---|---|
| Land Area (acres) | | | 15.00 |
| GSF | | | 350,000 |
| **Land Info** | **$ / Per Acre** | **$ / s.f.** | **Total** |
| Aloha Land Acquisition Cost | $933,333 | $40.00 | $14,000,000 |
| Aloha Infrastructure Cost | $1,000,000 | $42.86 | $15,000,000 |
| **Aloha Total Improved Land Cost** | **$1,933,333** | **$82.86** | **$29,000,000** |
| Land Valuation | $933,333 | $40.00 | $14,000,000 |
| Aloha Infrastructure Cost | $1,000,000 | $42.86 | $15,000,000 |
| **Land Value (Contribution to JV)** | **$1,933,333** | **$82.86** | **$29,000,000** |
| Land Value Mark Up / (Down) | | | $0 |

| Hard Costs | $ / s.f. | Total |
|---|---|---|
| Base Building | $160.00 | $56,000,000 |
| Tenant Improvements | $70.00 | $24,500,000 |
| Sitework | $13.15 | $4,602,069 |
| Parking | $60.00 | $21,000,000 |
| Hardscape | $0.00 | $0 |
| Landscape | $0.00 | $0 |
| Signage | $0.00 | $0 |
| Hard Cost Contingency | $11.00 | $3,850,000 |
| **Subtotal: Hard Costs** | **$314.15** | **$109,952,069** |
| | | |
| **Soft Costs** | | |
| Consultants (A&E) | $10.00 | $3,500,000 |
| Other Consultants | $0.00 | $0 |
| Permits and Impact Fees | $3.91 | $1,368,500 |
| Insurance | $4.32 | $1,512,000 |
| Legal | $6.25 | $2,187,640 |
| Marketing/PR | $1.46 | $511,341 |
| RE Tax | $0.50 | $175,000 |
| Leasing Commissions | $22.00 | $7,700,000 |
| Closing Costs | $3.50 | $1,226,677 |
| Construction Loan Interest | $6.04 | $2,114,583 |
| Soft Cost Contingency | $7.00 | $2,450,000 |
| | | |
| **Subtotal: Soft Costs** | **$64.99** | **$22,745,742** |
| | | |
| **Development Fees** | | |
| Development Fees | $5.83 | $2,041,667 |
| Construction Management Fee | $2.50 | $875,000 |
| **Subtotal: Development Costs** | **$8.33** | **$2,916,667** |
| | | |
| **Total Development Costs Excluding Land** | **$387.47** | **$135,614,477** |
| Land Acquisition Cost | $40.00 | $14,000,000 |
| Aloha Infrastructure Cost | $42.86 | $15,000,000 |
| **Total Development Costs Including Land** | **$470.33** | **$164,614,477** |

### Ownership Structures

| Financing | Own / Operate | Joint Venture - 50/50 |
|---|---|---|
| Ownership - Aloha | 100% | 50% |
| Ownership - Developer | 0% | 50% |
| Debt (Construction Loan) | 55% | 55% |
| Equity | 45% | 45% |

### Construction Loan Assumptions

| | |
|---|---|
| Interest Rate | 4.00% |

### Construction Cost Spreading

| | |
|---|---|
| Year 1 | 25% |
| Year 2 | 60% |
| Year 3 | 15% |

### Permanent Loan Assumptions (Cash Out Refinancing)

| | |
|---|---|
| Interest Rate | 5.00% |
| LTV | 60% |
| Amortization | 25 |

### Rent and Lease Up Assumptions

| | |
|---|---|
| **Rent Assumptions** | |
| Net Rent | $32.00 |
| Vacancy | 4.00% |
| | |
| Total Annual NOI | $30.72 |
| ROC | 6.53% |
| **Escalation** | |
| Growth Rate | 3.00% |

### Valuation / Reversion / Disposition

| | |
|---|---|
| LTV Cap Rate | 6.00% |
| Residual Cap Rate | 6.00% |
| Lease Up Risk Discount at Sale | 0.00% |
| Cost of Sale | 1.00% |

# Retail Development Model

## Own-Operate Scenario - 100/0 ownership, 55/45 leverage

| | | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Development Year** | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 |
| **Hold Year** | **Total** | | | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
| **Costs** | | | | | | | | | | | | | | |
| Construction Costs - Retail | $135,614,477 | $33,903,619 | $81,368,686 | $20,342,172 | | | | | | | | | | |
| Land Value Contribution (Land Cost + Mark up) | $29,000,000 | $29,000,000 | $0 | | | | | | | | | | | |
| **Total Costs** | **$164,614,477** | **$62,903,619** | **$81,368,686** | **$20,342,172** | | | | | | | | | | |
| **Equity** | | | | | | | | | | | | | | |
| **Aloha JV Stake** | **100%** | | | | | | | | | | | | | |
| Total Equity Requirement | $74,076,515 | | | | | | | | | | | | | |
| Aloha Total Equity Requirement (incl Land Cost + Mark up) | $74,076,515 | | | | | | | | | | | | | |
| Developer Total Equity Requirement | $0 | | | | | | | | | | | | | |
| Aloha Cash Equity | $45,076,515 | | | | | | | | | | | | | |
| Developer Cash Equity | $0 | | | | | | | | | | | | | |
| Equity Draws | $74,076,515 | $62,903,619 | $11,172,895 | $0 | | | | | | | | | | |
| Aloha Cash Equity | ($45,076,515) | ($33,903,619) | ($11,172,895) | $0 | | | | | | | | | | |
| Aloha Land Contribution (Cost) | ($29,000,000) | ($29,000,000) | $0 | $0 | | | | | | | | | | |
| Aloha Land Value Markup | $0 | $0 | $0 | $0 | | | | | | | | | | |
| Developer Cash Equity | $0 | $0 | $0 | $0 | | | | | | | | | | |
| **Debt** | | | | | | | | | | | | | | |
| **Construction Loan** | | | | | | | | | | | | | | |
| Beginning Balance | | $0 | $0 | ($73,003,622) | | | | | | | | | | |
| Draws | ($90,537,962) | $0 | ($70,195,791) | ($20,342,172) | | | | | | | | | | |
| Interest | ($6,541,663) | $0 | ($2,807,832) | ($3,733,832) | | | | | | | | | | |
| Ending Balance | | $0 | ($73,003,622) | ($97,079,626) | | | | | | | | | | |
| **Permanent Loan** | | | | | | | | | | | | | | |
| Retail | | | | | | | | | | | | | | |
| Beginning Balance | | | | | ($107,520,000) | ($105,267,192) | ($102,901,743) | ($100,418,022) | ($97,810,115) | ($95,071,813) | ($92,196,595) | ($89,177,617) | ($86,007,689) | ($82,679,265) |
| Principal Payment | $28,335,580 | | | | $2,252,808 | $2,365,449 | $2,483,721 | $2,607,907 | $2,738,302 | $2,875,218 | $3,018,978 | $3,169,927 | $3,328,424 | $3,494,845 |
| Interest Payment | $47,952,503 | | | | $5,376,000 | $5,263,360 | $5,145,087 | $5,020,901 | $4,890,506 | $4,753,591 | $4,609,830 | $4,458,881 | $4,300,384 | $4,133,963 |
| Outstanding Balance | | | | | ($105,267,192) | ($102,901,743) | ($100,418,022) | ($97,810,115) | ($95,071,813) | ($92,196,595) | ($89,177,617) | ($86,007,689) | ($82,679,265) | ($79,184,420) |
| Total: All Product Types | | | | | | | | | | | | | | |
| Beginning Balance | | | | | ($107,520,000) | ($105,267,192) | ($102,901,743) | ($100,418,022) | ($97,810,115) | ($95,071,813) | ($92,196,595) | ($89,177,617) | ($86,007,689) | ($82,679,265) |
| Principal Payment | $28,335,580 | | | | $2,252,808 | $2,365,449 | $2,483,721 | $2,607,907 | $2,738,302 | $2,875,218 | $3,018,978 | $3,169,927 | $3,328,424 | $3,494,845 |
| Interest Payment | $47,952,503 | | | | $5,376,000 | $5,263,360 | $5,145,087 | $5,020,901 | $4,890,506 | $4,753,591 | $4,609,830 | $4,458,881 | $4,300,384 | $4,133,963 |
| Outstanding Balance | | | | | ($105,267,192) | ($102,901,743) | ($100,418,022) | ($97,810,115) | ($95,071,813) | ($92,196,595) | ($89,177,617) | ($86,007,689) | ($82,679,265) | ($79,184,420) |
| **Operating and Sale Cashflows** | | | | | | | | | | | | | | |
| NOI - Retail | $123,259,630 | | | | $10,752,000 | $11,074,560 | $11,406,797 | $11,749,001 | $12,101,471 | $12,464,515 | $12,838,450 | $13,223,604 | $13,620,312 | $14,028,921 |
| Ground Lease | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Residual Value - Retail | $233,815,355 | | | | | | | | | | | | | $233,815,355 |
| Lease Up Risk Discount @ Sale | $0 | | | | | | | | | | | | | $0 |
| Cost of Sale | ($2,338,154) | | | | | | | | | | | | | ($2,338,154) |
| Net Cash Flow Before Debt Service | $354,736,831 | $0 | $0 | $0 | $10,752,000 | $11,074,560 | $11,406,797 | $11,749,001 | $12,101,471 | $12,464,515 | $12,838,450 | $13,223,604 | $13,620,312 | $245,506,122 |
| Debt Service | ($76,288,082) | $0 | $0 | $0 | ($7,628,808) | ($7,628,808) | ($7,628,808) | ($7,628,808) | ($7,628,808) | ($7,628,808) | ($7,628,808) | ($7,628,808) | ($7,628,808) | ($7,628,808) |
| *DSCR* | | | | | *1.41* | *1.45* | *1.50* | *1.54* | *1.59* | *1.63* | *1.68* | *1.73* | *1.79* | *1.84* |
| Excess Refinancing Proceeds | $16,982,038 | | | | $16,982,038 | | | | | | | | | |
| Permanent Loan Repayment | ($79,184,420) | | | | | | | | | | | | | ($79,184,420) |
| **Total Cashflow for Distribution** | **$216,246,366** | **$0** | **$0** | **$0** | **$20,105,229** | **$3,445,752** | **$3,777,989** | **$4,120,192** | **$4,472,663** | **$4,835,707** | **$5,209,642** | **$5,594,796** | **$5,991,504** | **$158,692,894** |
| Net Cash Flow from Operations | $46,971,548 | $0 | $0 | $0 | $3,123,192 | $3,445,752 | $3,777,989 | $4,120,192 | $4,472,663 | $4,835,707 | $5,209,642 | $5,594,796 | $5,991,504 | $6,400,113 |
| Net Cash Flow from Capital Events | $169,274,818 | $0 | $0 | $0 | $16,982,038 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $152,292,781 |
| **Cashflows to Aloha and Developer** | | | | | | | | | | | | | | |
| **Total Net Cash Flow** | | | | | | | | | | | | | | |
| **Aloha** | **$142,169,852** | **($62,903,619)** | **($11,172,895)** | **$0** | **$20,105,229.39** | **$3,445,752** | **$3,777,989** | **$4,120,192** | **$4,472,663** | **$4,835,707** | **$5,209,642** | **$5,594,796** | **$5,991,504** | **$158,692,894** |
| **Developer** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** |

| | |
|---|---|
| **Aloha IRR (pari passu)** | **11.65%** |
| Total Aloha Cash Equity Investment | $45,076,515 |
| Total Aloha Land Cost Investment | $29,000,000 |
| Total Investment | $74,076,515 |
| Total Aloha Cash Flow (10 Year Hold) | $142,169,852 |
| Aloha Debt | $107,520,000 |
| Total Aloha Distributions | $266,357,641 |

# Retail Development Model

**Own-Operate Scenario - 100/0 ownership, 55/45 leverage**

| | | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Development Year** | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 |
| **Hold Year** | **Total** | | | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
| **Costs** | | | | | | | | | | | | | | |
| Construction Costs - Retail | $135,614,477 | $33,903,619 | $81,368,686 | $20,342,172 | | | | | | | | | | |
| Land Value Contribution (Land Cost + Mark up) | $29,000,000 | $29,000,000 | $0 | | | | | | | | | | | |
| **Total Costs** | **$164,614,477** | **$62,903,619** | **$81,368,686** | **$20,342,172** | | | | | | | | | | |
| **Equity** | | | | | | | | | | | | | | |
| **Aloha JV Stake** | **100%** | | | | | | | | | | | | | |
| Total Equity Requirement | $74,076,515 | | | | | | | | | | | | | |
| Aloha Total Equity Requirement (incl Land Cost + Mark up) | $74,076,515 | | | | | | | | | | | | | |
| Developer Total Equity Requirement | $0 | | | | | | | | | | | | | |
| Aloha Cash Equity | $45,076,515 | | | | | | | | | | | | | |
| Developer Cash Equity | $0 | | | | | | | | | | | | | |
| Equity Draws | $74,076,515 | $62,903,619 | $11,172,895 | $0 | | | | | | | | | | |
| Aloha Cash Equity | ($45,076,515) | ($33,903,619) | ($11,172,895) | $0 | | | | | | | | | | |
| Aloha Land Contribution (Cost) | ($29,000,000) | ($29,000,000) | $0 | $0 | | | | | | | | | | |
| Aloha Land Value Markup | $0 | $0 | $0 | $0 | | | | | | | | | | |
| Developer Cash Equity | $0 | $0 | $0 | $0 | | | | | | | | | | |
| **Debt** | | | | | | | | | | | | | | |
| **Construction Loan** | | | | | | | | | | | | | | |
| Beginning Balance | | $0 | $0 | ($73,003,622) | | | | | | | | | | |
| Draws | ($90,537,962) | $0 | ($70,195,791) | ($20,342,172) | | | | | | | | | | |
| Interest | ($6,541,663) | $0 | ($2,807,832) | ($3,733,832) | | | | | | | | | | |
| Ending Balance | | $0 | ($73,003,622) | ($97,079,626) | | | | | | | | | | |
| **Permanent Loan** | | | | | | | | | | | | | | |
| Retail | | | | | | | | | | | | | | |
| Beginning Balance | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Principal Payment | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Interest Payment | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Outstanding Balance | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Total: All Product Types | | | | | | | | | | | | | | |
| Beginning Balance | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Principal Payment | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Interest Payment | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Outstanding Balance | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| **Operating and Sale Cashflows** | | | | | | | | | | | | | | |
| NOI - Retail | $10,752,000 | | | | $10,752,000 | | | | | | | | | |
| Ground Lease | $0 | | | | $0 | | | | | | | | | |
| Residual Value - Retail | $179,200,000 | | | | $179,200,000 | | | | | | | | | $0 |
| Lease Up Risk Discount @ Sale | $0 | | | | $0 | | | | | | | | | $0 |
| Cost of Sale | ($1,792,000) | | | | ($1,792,000) | | | | | | | | | $0 |
| Net Cash Flow Before Debt Service | $188,160,000 | $0 | $0 | $0 | $188,160,000 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Debt Service | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Construction Loan Repayment | ($90,537,962) | | | | ($90,537,962) | | | | | | | | | |
| Permanent Loan Repayment | $0 | | | | | | | | | | | | | $0 |
| **Total Cashflow for Distribution** | **$97,622,038** | **$0** | **$0** | **$0** | **$97,622,038** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** |
| Net Cash Flow from Operations | $10,752,000 | $0 | $0 | $0 | $10,752,000 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Net Cash Flow from Capital Events | $86,870,038 | $0 | $0 | $0 | $86,870,038 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| **Cashflows to Aloha and Developer** | | | | | | | | | | | | | | |
| **Total Net Cash Flow** | | | | | | | | | | | | | | |
| **Aloha** | **$23,545,523** | **($62,903,619)** | **($11,172,895)** | **$0** | **$97,622,037.60** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** |
| **Developer** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** |

| | |
|---|---|
| **Aloha IRR** | **10.15%** |
| Total Aloha Cash Equity Investment | $45,076,515 |
| Total Aloha Land Cost Investment | $29,000,000 |
| Total Investment | $74,076,515 |
| Total Aloha Cash Flow (10 Year Hold) | $23,545,523 |
| Aloha Debt | $0 |
| Total Aloha Distributions | $266,357,641 |

# Residential Development Model

## Assumptions

### Development Assumptions

| Development Program | Residential | | |
|---|---|---|---|
| Land Area (acres) | | | 12.00 |
| GSF | | | 550,000 |
| **Land Info** | **$ / Per Acre** | **$ / s.f.** | **Total** |
| Aloha Land Acquisition Cost | $0 | $0.00 | $0 |
| Aloha Infrastructure Cost | $1,000,000 | $21.82 | $12,000,000 |
| **Aloha Total Improved Land Cost** | **$1,000,000** | **$21.82** | **$12,000,000** |
| Land Valuation | $0 | $0.00 | $0 |
| Aloha Infrastructure Cost | $1,000,000 | $21.82 | $12,000,000 |
| **Land Value (Contribution to JV)** | **$1,000,000** | **$21.82** | **$12,000,000** |
| Land Value Mark Up / (Down) | | | $0 |

| Hard Costs | $ / s.f. | Total |
|---|---|---|
| Base Building | $170.00 | $93,500,000 |
| Tenant Improvements | $0.00 | $0 |
| Sitework | $2.00 | $1,100,000 |
| Parking | $20.00 | $11,000,000 |
| Hardscape | $0.50 | $275,000 |
| Landscape | $2.00 | $1,100,000 |
| Signage | $0.00 | $0 |
| Hard Cost Contingency | $5.00 | $2,750,000 |
| **Subtotal: Hard Costs** | **$199.50** | **$109,725,000** |
| | | |
| **Soft Costs** | | |
| Consultants (A&E) | $6.41 | $3,526,111 |
| FF&E | $3.89 | $2,138,889 |
| Financing Fees | $2.52 | $1,386,892 |
| Permits and Impact Fees | $4.11 | $2,260,895 |
| Insurance | $1.31 | $718,711 |
| Legal | $1.50 | $825,000 |
| Marketing | $1.00 | $550,000 |
| RE Tax | $0.21 | $117,797 |
| Leasing Commissions | $0.00 | $0 |
| Closing Costs / Miscellaneous | $0.50 | $275,000 |
| Construction Loan Interest | $6.50 | $3,575,000 |
| Soft Cost Contingency | $8.13 | $4,468,905 |
| Deduction for Operating Deficit Reserve | $0.00 | $0 |
| **Subtotal: Soft Costs** | **$36.08** | **$19,843,200** |
| | | |
| **Development Fees** | | |
| Development Fees | $7.64 | $4,200,025 |
| Construction Management Fee | $2.76 | $1,516,642 |
| **Subtotal: Development Costs** | **$10.39** | **$5,716,667** |
| | | |
| **Total Development Costs Excluding Land** | **$245.97** | **$135,284,867** |
| Land Acquisition Cost | $40.00 | $22,000,000 |
| Aloha Infrastructure Cost | $21.82 | $12,000,000 |
| **Total Development Costs Including Land** | **$307.79** | **$169,284,867** |

### Ownership Structures

| Financing | Own / Operate | Joint Venture - 50/50 |
|---|---|---|
| Ownership - Aloha | 100% | 50% |
| Ownership - Developer | 0% | 50% |
| Debt (Construction Loan) | 65% | 65% |
| Equity | 35% | 35% |

**Construction Loan Assumptions**

| | |
|---|---|
| Interest Rate | 4.38% |

**Construction Cost Spreading**

| | |
|---|---|
| Year 1 | 10% |
| Year 2 | 60% |
| Year 3 | 30% |

**Permanent Loan Assumptions (Cash Out Refinancing)**

| | |
|---|---|
| Interest Rate | 6.00% |
| LTV | 65% |
| Amortization | 30 |

**Rent and Lease Up Assumptions**

**Rent Assumptions**

| | |
|---|---|
| Net Rent | $19.32 |
| Vacancy | 0.00% |
| | 6.28% |

**Escalation**

| | |
|---|---|
| Growth Rate | 3.00% |

**Valuation and Reversion and Disposition**

| | |
|---|---|
| LTV Cap Rate | 5.50% |
| Residual Cap Rate | 5.50% |
| Lease Up Risk Discount at Sale | 0.00% |
| Cost of Sale | 1.00% |

# Residential Development Model

**Own-Operate Scenario - 100/0 ownership, 65/35 leverage**

| | | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Development Year** | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 |
| **Hold Year** | **Total** | | | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
| **Costs** | | | | | | | | | | | | | | |
| Construction Costs - Residential | $135,284,867 | $13,528,487 | $81,170,920 | $40,585,460 | | | | | | | | | | |
| Land Value Contribution (Land Cost + Mark up) | $12,000,000 | $12,000,000 | $0 | | | | | | | | | | | |
| **Total Costs** | **$147,284,867** | **$25,528,487** | **$81,170,920** | **$40,585,460** | | | | | | | | | | |
| **Equity** | | | | | | | | | | | | | | |
| **Aloha JV Stake** | **100%** | | | | | | | | | | | | | |
| Total Equity Requirement | $51,549,703 | | | | | | | | | | | | | |
| Aloha Total Equity Requirement (incl Land Cost + Mark up) | $51,549,703 | | | | | | | | | | | | | |
| Developer Total Equity Requirement | $0 | | | | | | | | | | | | | |
| Aloha Cash Equity | $39,549,703 | | | | | | | | | | | | | |
| Developer Cash Equity | $0 | | | | | | | | | | | | | |
| Equity Draws | $51,549,703 | $25,528,487 | $26,021,217 | $0 | | | | | | | | | | |
| Aloha Cash Equity | ($39,549,703) | ($13,528,487) | ($26,021,217) | $0 | | | | | | | | | | |
| Aloha Land Contribution (Cost) | ($12,000,000) | ($12,000,000) | $0 | $0 | | | | | | | | | | |
| Aloha Land Value Markup | $0 | $0 | $0 | $0 | | | | | | | | | | |
| Developer Cash Equity | $0 | $0 | $0 | $0 | | | | | | | | | | |
| **Debt** | | | | | | | | | | | | | | |
| **Construction Loan** | | | | | | | | | | | | | | |
| Beginning Balance | | $0 | $0 | ($55,149,703) | | | | | | | | | | |
| Draws | ($95,735,163) | $0 | ($55,149,703) | ($40,585,460) | | | | | | | | | | |
| Interest | ($6,608,757) | $0 | ($2,415,557) | ($4,193,200) | | | | | | | | | | |
| Ending Balance | | $0 | ($55,149,703) | ($95,735,163) | | | | | | | | | | |
| **Permanent Loan** | | | | | | | | | | | | | | |
| Residential | | | | | | | | | | | | | | |
| Beginning Balance | | | | | ($125,580,000) | ($124,785,775) | ($123,102,018) | ($121,317,235) | ($119,425,365) | ($117,419,983) | ($115,294,278) | ($113,041,031) | ($110,652,589) | ($108,120,841) |
| Principal Payment | $20,142,813 | | | | $794,225 | $1,683,757 | $1,784,783 | $1,891,870 | $2,005,382 | $2,125,705 | $2,253,247 | $2,388,442 | $2,531,748 | $2,683,653 |
| Interest Payment | $66,528,065 | | | | $3,767,400 | $7,439,493 | $7,338,468 | $7,231,381 | $7,117,868 | $6,997,545 | $6,870,003 | $6,734,808 | $6,591,502 | $6,439,597 |
| Outstanding Balance | | | | | ($124,785,775) | ($123,102,018) | ($121,317,235) | ($119,425,365) | ($117,419,983) | ($115,294,278) | ($113,041,031) | ($110,652,589) | ($108,120,841) | ($105,437,187) |
| Total: All Product Types | | | | | | | | | | | | | | |
| Beginning Balance | | | | | ($125,580,000) | ($124,785,775) | ($123,102,018) | ($121,317,235) | ($119,425,365) | ($117,419,983) | ($115,294,278) | ($113,041,031) | ($110,652,589) | ($108,120,841) |
| Principal Payment | $20,142,813 | | | | $794,225 | $1,683,757 | $1,784,783 | $1,891,870 | $2,005,382 | $2,125,705 | $2,253,247 | $2,388,442 | $2,531,748 | $2,683,653 |
| Interest Payment | $66,528,065 | | | | $3,767,400 | $7,439,493 | $7,338,468 | $7,231,381 | $7,117,868 | $6,997,545 | $6,870,003 | $6,734,808 | $6,591,502 | $6,439,597 |
| Outstanding Balance | | | | | ($124,785,775) | ($123,102,018) | ($121,317,235) | ($119,425,365) | ($117,419,983) | ($115,294,278) | ($113,041,031) | ($110,652,589) | ($108,120,841) | ($105,437,187) |
| **Operating and Sale Cashflows** | | | | | | | | | | | | | | |
| NOI - Residential | $116,502,182 | | | | $5,313,000 | $10,944,780 | $11,273,123 | $11,611,317 | $11,959,657 | $12,318,446 | $12,688,000 | $13,068,640 | $13,460,699 | $13,864,520 |
| Ground Lease | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Residual Value - Residential | $252,082,179 | | | | | | | | | | | | | $252,082,179 |
| Lease Up Risk Discount @ Sale | $0 | | | | | | | | | | | | | $0 |
| Cost of Sale | ($2,520,822) | | | | | | | | | | | | | ($2,520,822) |
| Net Cash Flow Before Debt Service | $366,063,539 | $0 | $0 | $0 | $5,313,000 | $10,944,780 | $11,273,123 | $11,611,317 | $11,959,657 | $12,318,446 | $12,688,000 | $13,068,640 | $13,460,699 | $263,425,877 |
| Debt Service | ($86,670,878) | $0 | $0 | $0 | ($4,561,625) | ($9,123,250) | ($9,123,250) | ($9,123,250) | ($9,123,250) | ($9,123,250) | ($9,123,250) | ($9,123,250) | ($9,123,250) | ($9,123,250) |
| *DSCR* | | | | | *1.16* | *1.20* | *1.24* | *1.27* | *1.31* | *1.35* | *1.39* | *1.43* | *1.48* | *1.52* |
| Excess Refinancing Proceeds | $29,844,837 | | | | $29,844,837 | | | | | | | | | |
| Permanent Loan Repayment | ($105,437,187) | | | | | | | | | | | | | ($105,437,187) |
| **Total Cashflow for Distribution** | **$203,800,310** | **$0** | **$0** | **$0** | **$30,596,212** | **$1,821,530** | **$2,149,873** | **$2,488,067** | **$2,836,406** | **$3,195,196** | **$3,564,749** | **$3,945,389** | **$4,337,449** | **$148,865,439** |
| Net Cash Flow from Operations | $29,831,304 | $0 | $0 | $0 | $751,375 | $1,821,530 | $2,149,873 | $2,488,067 | $2,836,406 | $3,195,196 | $3,564,749 | $3,945,389 | $4,337,449 | $4,741,270 |
| Net Cash Flow from Capital Events | $173,969,007 | $0 | $0 | $0 | $29,844,837 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $144,124,170 |
| **Cashflows to Aloha and Developer** | | | | | | | | | | | | | | |
| **Total Net Cash Flow** | | | | | | | | | | | | | | |
| **Aloha** | **$152,250,607** | **($25,528,487)** | **($26,021,217)** | **$0** | **$30,596,212** | **$1,821,530** | **$2,149,873** | **$2,488,067** | **$2,836,406** | **$3,195,196** | **$3,564,749** | **$3,945,389** | **$4,337,449** | **$148,865,439** |
| **Developer** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** |

| | |
|---|---|
| **Aloha IRR** | **17.40%** |
| Total Aloha Cash Equity Investment | $39,549,703 |
| Total Aloha Land Cost Investment | $12,000,000 |
| Total Investment | $51,549,703 |
| Total Aloha Cash Flow (10 Year Hold) | $152,250,607 |
| Aloha Debt | $125,580,000 |
| Total Aloha Distributions | $206,303,064 |

# Residential Development Model

## Own-Operate Scenario - 100/0 ownership, 65/35 leverage

| | | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Development Year** | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 |
| **Hold Year** | **Total** | | | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
| **Costs** | | | | | | | | | | | | | | |
| Construction Costs - Residential | $135,284,867 | $13,528,487 | $81,170,920 | $40,585,460 | | | | | | | | | | |
| Land Value Contribution (Land Cost + Mark up) | $12,000,000 | $12,000,000 | $0 | | | | | | | | | | | |
| **Total Costs** | **$147,284,867** | **$25,528,487** | **$81,170,920** | **$40,585,460** | | | | | | | | | | |
| **Equity** | | | | | | | | | | | | | | |
| **Aloha JV Stake** | **100%** | | | | | | | | | | | | | |
| Total Equity Requirement | $51,549,703 | | | | | | | | | | | | | |
| Aloha Total Equity Requirement (incl Land Cost + Mark up) | $51,549,703 | | | | | | | | | | | | | |
| Developer Total Equity Requirement | $0 | | | | | | | | | | | | | |
| Aloha Cash Equity | $39,549,703 | | | | | | | | | | | | | |
| Developer Cash Equity | $0 | | | | | | | | | | | | | |
| Equity Draws | $51,549,703 | $25,528,487 | $26,021,217 | $0 | | | | | | | | | | |
| Aloha Cash Equity | ($39,549,703) | ($13,528,487) | ($26,021,217) | $0 | | | | | | | | | | |
| Aloha Land Contribution (Cost) | ($12,000,000) | ($12,000,000) | $0 | $0 | | | | | | | | | | |
| Aloha Land Value Markup | $0 | $0 | $0 | $0 | | | | | | | | | | |
| Developer Cash Equity | $0 | $0 | $0 | $0 | | | | | | | | | | |
| **Debt** | | | | | | | | | | | | | | |
| **Construction Loan** | | | | | | | | | | | | | | |
| Beginning Balance | | $0 | $0 | ($55,149,703) | | | | | | | | | | |
| Draws | ($95,735,163) | $0 | ($55,149,703) | ($40,585,460) | | | | | | | | | | |
| Interest | ($6,608,757) | $0 | ($2,415,557) | ($4,193,200) | | | | | | | | | | |
| Ending Balance | | $0 | ($55,149,703) | ($95,735,163) | | | | | | | | | | |
| **Permanent Loan** | | | | | | | | | | | | | | |
| Residential | | | | | | | | | | | | | | |
| Beginning Balance | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Principal Payment | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Interest Payment | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Outstanding Balance | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Total: All Product Types | | | | | | | | | | | | | | |
| Beginning Balance | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Principal Payment | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Interest Payment | $0 | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Outstanding Balance | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| **Operating and Sale Cashflows** | | | | | | | | | | | | | | |
| NOI - Residential | $10,626,000 | | | | $10,626,000 | | | | | | | | | |
| Ground Lease | $0 | | | | $0 | | | | | | | | | |
| Residual Value - Residential | $193,200,000 | | | | $193,200,000 | | | | | | | | | $0 |
| Lease Up Risk Discount @ Sale | $0 | | | | $0 | | | | | | | | | $0 |
| Cost of Sale | ($1,932,000) | | | | ($1,932,000) | | | | | | | | | $0 |
| Net Cash Flow Before Debt Service | $201,894,000 | $0 | $0 | $0 | $201,894,000 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Debt Service | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Excess Refinancing Proceeds | ($95,735,163) | | | | ($95,735,163) | | | | | | | | | |
| Permanent Loan Repayment | $0 | | | | | | | | | | | | | $0 |
| **Total Cashflow for Distribution** | **$106,158,837** | **$0** | **$0** | **$0** | **$106,158,837** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** |
| Net Cash Flow from Operations | $10,626,000 | $0 | $0 | $0 | $10,626,000 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Net Cash Flow from Capital Events | $95,532,837 | $0 | $0 | $0 | $95,532,837 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| **Cashflows to Aloha and Developer** | | | | | | | | | | | | | | |
| **Total Net Cash Flow** | | | | | | | | | | | | | | |
| **Aloha** | **$54,609,133** | **($25,528,487)** | **($26,021,217)** | **$0** | **$106,158,837** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** |
| **Developer** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** | **$0** |

| | |
|---|---|
| **Aloha IRR** | **33.03%** |
| Total Aloha Cash Equity Investment | $39,549,703 |
| Total Aloha Land Cost Investment | $12,000,000 |
| Total Investment | $51,549,703 |
| Total Aloha Cash Flow (10 Year Hold) | $54,609,133 |
| Aloha Debt | $0 |
| Total Aloha Distributions | $206,303,064 |

# Hotel Development Model
## Assumptions

### Development Assumptions

| | |
|---|---|
| Acres | 6.0 |
| Rooms | 200 |
| GSF | 160,000 |
| Construction Cost per Key | $343,936 |

| **Land Info** | **$ / Per Acre** | **$ / Room** | **$ / s.f.** | **Total** |
|---|---|---|---|---|
| Land Acquisition Cost | $1,066,667 | $32,000 | $40.00 | $6,400,000 |
| Infrastructure Cost | $1,000,000 | $30,000 | $37.50 | $6,000,000 |
| **Total Improved Land Cost** | **$2,066,667** | **$62,000** | **$77.50** | **$12,400,000** |

| **Hard Costs** | **% of total** | **$ / Room** | **$ / s.f.** | **Total** |
|---|---|---|---|---|
| Base Building | 48.85% | $168,000 | $210.00 | $33,600,000 |
| Parking | 4.65% | $16,000 | $20.00 | $3,200,000 |
| Hard Cost Contingency | 1.16% | $4,000 | $5.00 | $800,000 |
| **Subtotal: Hard Costs** | 54.66% | $188,000 | $235.00 | $37,600,000 |
| **Soft Costs** | | | | |
| Consultants (A&E) | 4.65% | $16,000 | $20.00 | $3,200,000 |
| Other Consultants | 2.33% | $8,000 | $10.00 | $1,600,000 |
| FF&E, OS&E and IT | 9.30% | $32,000 | $40.00 | $6,400,000 |
| Legal | 0.70% | $2,400 | $3.00 | $480,000 |
| Taxes | 1.44% | $4,936 | $6.17 | $987,229 |
| Owner Contingency | 2.33% | $8,000 | $10.00 | $1,600,000 |
| Capitalized Interest | 1.45% | $5,000 | $6.25 | $1,000,000 |
| Legal & Financing Fees | 2.79% | $9,600 | $12.00 | $1,920,000 |
| **Subtotal: Soft Costs** | 24.99% | $85,936 | $107.42 | $17,187,229 |
| **Development Fees** | | | | |
| Pre-Development Fees | 1.86% | $6,400 | $8.00 | $1,280,000 |
| Development Fees | 0.47% | $1,600 | $2.00 | $320,000 |
| **Subtotal: Development Costs** | 2.33% | $8,000 | $10.00 | **$1,600,000** |
| **Total Development Costs Excluding Land** | 81.97% | **$281,936** | $352.42 | **$56,387,229** |
| Land Acquisition Cost | 9.30% | $32,000 | $40.00 | $6,400,000 |
| Infrastructure Cost | 8.72% | $30,000 | $37.50 | $6,000,000 |
| **Development Costs Including Land** | 100.00% | **$343,936** | $429.92 | **$68,787,229** |

### Ownership Structure and Financing Assumptions

| **Ownership Structures** | |
|---|---|
| **Financing** | |
| Ownership - Aloha | 100% |
| Ownership - Developer | 0% |
| Debt (Construction Loan) | 60% |
| Equity | 40% |

| **Construction Loan Assumptions** | |
|---|---|
| Interest Rate | 4.25% |
| Loan Amount | $41,272,338 |

| **Construction Cost Spreading** | |
|---|---|
| Year 1 | 25% |
| Year 2 | 60% |
| Year 3 | 15% |

| **Permanent Loan Assumptions** | |
|---|---|
| Interest Rate | 5.00% |
| LTV | 65% |
| Amortization | 30 |

| **Valuation** | |
|---|---|
| Short Term Sale Cap Rate | 6.00% |
| Long Term Terminal Cap Rate | 7.00% |
| Cost of Sale | 1.00% |

# Hotel Development Model
## Own-Operate Scenario

| | | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Development Year** | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 |
| **Hold Year** | **Total** | | | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
| **Operating Assumptions** | | | | | | | | | | | | | | |
| Rooms | | | | | 200 | 200 | 200 | 200 | 200 | 200 | 200 | 200 | 200 | 200 |
| Available Room Nights | | | | | 73,000 | 73,000 | 73,000 | 73,000 | 73,000 | 73,000 | 73,000 | 73,000 | 73,000 | 73,000 |
| Occupied Room Nights | | | | | 49,640 | 52,560 | 54,020 | 54,750 | 54,750 | 54,750 | 54,750 | 54,750 | 54,750 | 54,750 |
| Occupancy | | | | | 68.0% | 72.0% | 74.0% | 75.0% | 75.0% | 75.0% | 75.0% | 75.0% | 75.0% | 75.0% |
| ADR | | | | | $190.00 | $195.00 | $200.00 | $205.00 | $210.00 | $215.00 | $220.00 | $225.00 | $230.00 | $235.00 |
| RevPAR | | | | | $129.20 | $140.40 | $148.00 | $153.75 | $157.50 | $161.25 | $165.00 | $168.75 | $172.50 | $176.25 |
| Room Revenue | | | | | $9,431,600 | $10,249,200 | $10,804,000 | $11,223,750 | $11,497,500 | $11,771,250 | $12,045,000 | $12,318,750 | $12,592,500 | $12,866,250 |
| Other Revenue | | | | 30% | $2,829,480 | $3,074,760 | $3,241,200 | $3,367,125 | $3,449,250 | $3,531,375 | $3,613,500 | $3,695,625 | $3,777,750 | $3,859,875 |
| Total Revenue | | | | | $12,261,080 | $13,323,960 | $14,045,200 | $14,590,875 | $14,946,750 | $15,302,625 | $15,658,500 | $16,014,375 | $16,370,250 | $16,726,125 |
| NOI Margin | | | | | 30.0% | 30.0% | 30.0% | 30.0% | 30.0% | 30.0% | 30.0% | 30.0% | 30.0% | 30.0% |
| NOI | | | | | $3,678,324 | $3,997,188 | $4,213,560 | $4,377,263 | $4,484,025 | $4,590,788 | $4,697,550 | $4,804,313 | $4,911,075 | $5,017,838 |
| **Costs** | | | | | | | | | | | | | | |
| Construction Costs - Hotel | $68,787,229 | $17,196,807 | $41,272,338 | $10,318,084 | | | | | | | | | | |
| **Aloha JV Stake** | **100%** | | | | | | | | | | | | | |
| Total Equity Requirement | $27,514,892 | | | | | | | | | | | | | |
| Equity Draws | | ($17,196,807) | ($10,318,084) | $0 | | | | | | | | | | |
| **Construction Loan** | | | | | | | | | | | | | | |
| Beginning Balance | | $0 | $0 | ($32,269,809) | | | | | | | | | | |
| Draws | ($41,272,338) | $0 | ($30,954,253) | ($10,318,084) | | | | | | | | | | |
| Interest | ($2,220,548) | $0 | ($1,315,556) | ($904,993) | | | | | | | | | | |
| Ending Balance | | $0 | ($32,269,809) | ($43,492,886) | | | | | | | | | | |
| **Permanent Loan** | | | | | | | | | | | | | | |
| Hotel | | | | | | | | | | | | | | |
| Beginning Balance | | | | | ($43,302,870) | ($42,651,100) | ($41,966,741) | ($41,248,164) | ($40,493,658) | ($39,701,427) | ($38,869,585) | ($37,996,150) | ($37,079,044) | ($36,116,082) |
| Principal Payment | | | | | $651,770 | $684,359 | $718,577 | $754,506 | $792,231 | $831,842 | $873,435 | $917,106 | $962,962 | $1,011,110 |
| Interest Payment | | | | | $2,165,144 | $2,132,555 | $2,098,337 | $2,062,408 | $2,024,683 | $1,985,071 | $1,943,479 | $1,899,808 | $1,853,952 | $1,805,804 |
| Outstanding Balance | | | | | ($42,651,100) | ($41,966,741) | ($41,248,164) | ($40,493,658) | ($39,701,427) | ($38,869,585) | ($37,996,150) | ($37,079,044) | ($36,116,082) | ($35,104,973) |
| **Operating and Sale Cashflows** | | | | | | | | | | | | | | |
| NOI - Hotel | | | | | $3,678,324 | $3,997,188 | $4,213,560 | $4,377,263 | $4,484,025 | $4,590,788 | $4,697,550 | $4,804,313 | $4,911,075 | $5,017,838 |
| Residual Value - Hotel | | | | | | | | | | | | | | $71,683,393 |
| Cost of Sale | | | | | | | | | | | | | | ($716,834) |
| Net Cash Flow Before Debt Service | | | | | $3,678,324 | $3,997,188 | $4,213,560 | $4,377,263 | $4,484,025 | $4,590,788 | $4,697,550 | $4,804,313 | $4,911,075 | $75,984,396 |
| Net Cash Flow Before Debt Service | | ($17,196,807) | ($41,272,338) | ($10,318,084) | $3,678,324 | $3,997,188 | $4,213,560 | $4,377,263 | $4,484,025 | $4,590,788 | $4,697,550 | $4,804,313 | $4,911,075 | $75,984,396 |
| Unlevered IRR | | 5.8% | | | | | | | | | | | | |
| Debt Service | | $0 | $0 | $0 | ($2,816,914) | ($2,816,914) | ($2,816,914) | ($2,816,914) | ($2,816,914) | ($2,816,914) | ($2,816,914) | ($2,816,914) | ($2,816,914) | ($2,816,914) |
| *DSCR* | | | | | *1.31* | *1.42* | *1.50* | *1.55* | *1.59* | *1.63* | *1.67* | *1.71* | *1.74* | *26.97* |
| Excess Refinancing Proceeds | | | | | $2,030,532 | | | | | | | | | |
| Permanent Loan Repayment | | | | | | | | | | | | | | ($35,104,973) |
| **Levered Cash Flows** | **$26,980,010** | ($17,196,807) | ($10,318,084) | $0 | $2,891,943 | $1,180,274 | $1,396,646 | $1,560,349 | $1,667,111 | $1,773,874 | $1,880,636 | $1,987,399 | $2,094,161 | $38,062,510 |
| **Aloha Distributions** | **$54,494,902** | | | | | | | | | | | | | |
| **Aloha IRR** | **7.2%** | | | | | | | | | | | | | |
| Total Aloha Equity Investment | $27,514,892 | | | | | | | | | | | | | |
| Total Aloha Cash Flow (10 Year Hold) | $26,980,010 | | | | | | | | | | | | | |
| Aloha Debt | $43,302,870 | | | | | | | | | | | | | |
| Total Aloha Distributions | $70,282,880 | | | | | | | | | | | | | |

# Hotel Development Model

**Own-Operate - Sale Scenario**

| | | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Development Year** | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 |
| **Hold Year** | **Total** | | | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
| **Operating Assumptions** | | | | | | | | | | | | | | |
| Rooms | | | | | 200 | 200 | 200 | 200 | 200 | 200 | 200 | 200 | 200 | 200 |
| Available Room Nights | | | | | 73,000 | 73,000 | 73,000 | 73,000 | 73,000 | 73,000 | 73,000 | 73,000 | 73,000 | 73,000 |
| Occupied Room Nights | | | | | 49,640 | 52,560 | 54,020 | 54,750 | 54,750 | 54,750 | 54,750 | 54,750 | 54,750 | 54,750 |
| Occupancy | | | | | 68.0% | 72.0% | 74.0% | 75.0% | 75.0% | 75.0% | 75.0% | 75.0% | 75.0% | 75.0% |
| ADR | | | | | $190.00 | $195.00 | $200.00 | $205.00 | $210.00 | $215.00 | $220.00 | $225.00 | $230.00 | $235.00 |
| RevPAR | | | | | $129.20 | $140.40 | $148.00 | $153.75 | $157.50 | $161.25 | $165.00 | $168.75 | $172.50 | $176.25 |
| Room Revenue | | | | | $9,431,600 | $10,249,200 | $10,804,000 | $11,223,750 | $11,497,500 | $11,771,250 | $12,045,000 | $12,318,750 | $12,592,500 | $12,866,250 |
| Other Revenue | | | | 30% | $2,829,480 | $3,074,760 | $3,241,200 | $3,367,125 | $3,449,250 | $3,531,375 | $3,613,500 | $3,695,625 | $3,777,750 | $3,859,875 |
| Total Revenue | | | | | $12,261,080 | $13,323,960 | $14,045,200 | $14,590,875 | $14,946,750 | $15,302,625 | $15,658,500 | $16,014,375 | $16,370,250 | $16,726,125 |
| NOI Margin | | | | | 30.0% | 30.0% | 30.0% | 30.0% | 30.0% | 30.0% | 30.0% | 30.0% | 30.0% | 30.0% |
| NOI | | | | | $3,678,324 | $3,997,188 | $4,213,560 | $4,377,263 | $4,484,025 | $4,590,788 | $4,697,550 | $4,804,313 | $4,911,075 | $5,017,838 |
| **Costs** | | | | | | | | | | | | | | |
| Construction Costs - Hotel | $68,787,229 | $17,196,807 | $41,272,338 | $10,318,084 | | | | | | | | | | |
| **Aloha JV Stake** | **100%** | | | | | | | | | | | | | |
| Total Equity Requirement | $27,514,892 | | | | | | | | | | | | | |
| Equity Draws | | ($17,196,807) | ($10,318,084) | $0 | | | | | | | | | | |
| **Construction Loan** | | | | | | | | | | | | | | |
| Beginning Balance | | $0 | $0 | ($32,269,809) | | | | | | | | | | |
| Draws | ($41,272,338) | $0 | ($30,954,253) | ($10,318,084) | | | | | | | | | | |
| Interest | ($2,220,548) | $0 | ($1,315,556) | ($904,993) | | | | | | | | | | |
| Ending Balance | | $0 | ($32,269,809) | ($43,492,886) | | | | | | | | | | |
| **Permanent Loan** | | | | | | | | | | | | | | |
| Hotel | | | | | | | | | | | | | | |
| Beginning Balance | | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Principal Payment | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Interest Payment | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Outstanding Balance | | | | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| **Operating and Sale Cashflows** | | | | | | | | | | | | | | |
| NOI - Hotel | | | | | $3,678,324 | $3,997,188 | $4,213,560 | | | | | | | |
| Residual Value - Hotel | | | | | | $70,226,000 | | | | | | | | $0 |
| Cost of Sale | | | | | | ($702,260) | | | | | | | | $0 |
| Net Cash Flow Before Debt Service | | | | | $3,678,324 | $73,520,928 | | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Net Cash Flow Before Debt Service | | ($17,196,807) | ($41,272,338) | ($10,318,084) | $3,678,324 | $73,520,928 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Unlevered IRR | | 3.8% | | | | | | | | | | | | |
| Debt Service | | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Excess Refinancing Proceeds | | | | | | ($41,272,338) | | | | | | | | |
| Permanent Loan Repayment | | | | | | | | | | | | | | $0 |
| **Levered Cash Flows** | **$8,412,023** | ($17,196,807) | ($10,318,084) | $0 | $3,678,324 | $32,248,590 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| **Aloha Distributions** | **$35,926,914** | | | | | | | | | | | | | |
| **Aloha IRR** | **7.9%** | | | | | | | | | | | | | |
| Total Aloha Equity Investment | $27,514,892 | | | | | | | | | | | | | |
| Total Aloha Cash Flow (10 Year Hold) | $8,412,023 | | | | | | | | | | | | | |
| Aloha Debt | $0 | | | | | | | | | | | | | |
| Total Aloha Distributions | $8,412,023 | | | | | | | | | | | | | |